

because it's predictable. You know your monthly nut. There are strident laws protecting you from casual eviction or greedy landlords, and the cost of moving is just a truck and two guys—no lawyers or real estate agents need to be involved.

I can hear a number of you saying, “But Uncle Kevin, I’ve always been told that investing in real estate is the only way to build wealth.” Here’s a terrific compromise for those of you who want the benefit of investing in real estate without all of its attendant headaches: Invest in REITs—real estate investment trusts. REITs are like mutual funds—baskets of assets, except that they carry real estate investments only. As with mutual funds, you invest collectively and reap the profits proportionate to your investment. It’s a way to own property without being a landlord, paying property taxes, dealing with repairs and upkeep, or paying the 12 percent in taxes and real estate fees every time you want to sell your property. REITs can involve commercial or residential properties, condos, strip malls, storage facilities, or farms. I suggest you hire a qualified financial advisor to help you select the REITs you want to invest in.

To rent or to buy is a personal choice. But if you do decide to rent, here is some simple math to show that, while owning often builds equity, it also comes at a steep cost, one that is sometimes equal to the cost of renting.

You have \$100,000. Do you rent or do you buy?

Let’s say you buy a two-bedroom condo for \$350,000. You use that \$100,000 as your down payment. That means paying \$1,400 a month on a \$250,000 mortgage at 4 percent interest. On top of your mortgage payments, you also pay \$500 a month in condo fees, \$200 in utilities, \$200 a month in taxes, and \$50 a month in insurance.

Here is your total output every month to own a condo, keeping in mind that your mortgage payments, at least for the first few years, are largely servicing the interest, not the principal: \$2,350, much of it in taxes, utilities, and fees.

Over a twenty-five-year period, that mortgage might cost you about \$145,000 in interest, assuming your rate never goes up or down. So yes, at the end of twenty-five years, you’ll have built equity, and the value of your condo may have more than doubled, maybe even tripled.